

WELLS FARGO SECURITIES 2014 TECH, MEDIA & TELECOM CONFERENCE



Chip Merritt - Vice President, Investor Relations
November 13, 2014

McGraw Hill Financial



Comparison of Adjusted Information to U.S. GAAP Information

This presentation includes adjusted financial measures that are derived from the Company's continuing operations. This non-GAAP information is provided in order to allow investors to make meaningful comparisons of the Company's operating performance between periods and to view the Company's business from the same perspective as Company management.

The Company's earnings release dated October 29, 2014 contains exhibits that reconcile the differences between the non-GAAP measures and comparable financial measures calculated in accordance with U.S. GAAP.

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"Safe Harbor" Statement Under the Private Securities Litigation Reform Act of 1995

This presentation contains "forward-looking statements," as defined in the Private Securities Litigation Reform Act of 1995. These statements, which express management's current views concerning future events or results, use words like "anticipate," "assume," "believe," "continue," "estimate," "expect," "future," "intend," "plan," "project" and similar terms, and future or conditional tense verbs like "could," "may," "might," "should," "will" and "would." For example, we may use forward-looking statements when addressing topics such as: the outcome of contingencies; future actions by regulators; changes in our business strategies and methods of generating revenue; the development and performance of our services and products; the expected impact of acquisitions and dispositions; our effective tax rates; and our cost structure, dividend policy, cash flow and liquidity.

Forward-looking statements are subject to inherent risks and uncertainties. Factors that could cause actual results to differ materially from those expressed or implied in our forward-looking statements include, among other things:

- the regulatory environment affecting Standard & Poor's Ratings Services, Platts, S&P Dow Jones Indices, S&P Capital IQ and our other businesses, including new and amended applicable regulations and our compliance therewith;
- the outcome of litigation, government and regulatory proceedings, investigations and inquiries;
- worldwide economic, financial, political and regulatory conditions;
- the health of debt and equity markets, including credit quality and spreads, the level of liquidity and future debt issuances;
- the level of interest rates and the strength of the credit and capital markets in the U.S. and abroad;
- the demand and market for debt ratings in and across the sectors and geographies where we operate;
- the effect of competitive products and pricing;
- the level of success of new product development and global expansion;
- the level of merger and acquisition activity in the U.S. and abroad;
- the volatility of the energy marketplace;
- the health of the commodities markets;
- the strength and performance of the domestic and international automotive markets;
- the level of our future cash flows;
- our ability to make acquisitions and dispositions and to integrate, and realize expected synergies, savings or benefits from, the businesses we acquire;
- our ability to maintain adequate physical, technical and administrative safeguards to protect the security of confidential information and data, and the potential of a system or network disruption that results in regulatory penalties, remedial costs and/or improper disclosure of confidential information or data;
- the level of our capital investments;
- the level of restructuring charges we incur;
- our ability to successfully recover should we experience a disaster or other business continuity problem, such as a hurricane, flood, earthquake, terrorist attack, pandemic, security breach, cyber attack, power loss, telecommunications failure or other natural or man-made disaster;
- changes in applicable tax or accounting requirements;
- the impact on our net income caused by fluctuations in foreign currency exchange issues; and
- our exposure to potential criminal sanctions or civil remedies if we fail to comply with foreign and U.S. laws and regulations that are applicable in the domestic and international jurisdictions in which we operate, including sanctions laws relating to countries such as Iran, Russia, Cuba, Sudan and Syria, anti-corruption laws such as the U.S. Foreign Corrupt Practices Act and the U.K. Bribery Act of 2010, local laws prohibiting corrupt payments to government officials, as well as import and export restrictions.

The factors above are not exhaustive. McGraw Hill Financial, Inc. and its subsidiaries operate in a dynamic business environment in which new risks may emerge frequently. Accordingly, we caution readers not to place undue reliance on the above forward-looking statements, which speak only as of the dates on which they are made. The Company undertakes no obligation to update or revise any forward-looking statement to reflect events or circumstances arising after the date on which it is made. Further information about our businesses, including information about factors that could materially affect our results of operations and financial condition, is contained in the Company's filings with the Securities and Exchange Commission, including the "Risk Factors" section in our most recently filed Annual Report on Form 10-K.

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Growth and Value Plan Delivered Great Returns

	2011*	2013	Change
Revenue (\$M)	\$6,246	\$4,875	-22%
Adjusted Operating Profit (\$M)	\$1,498	\$1,602	+7%
Adjusted Operating Margin	24%	33%	+9 pts
Adjusted Diluted EPS	\$2.91	\$3.33	+14%
Capex (\$M)	\$277**	\$117	-58%

Media Businesses Divested

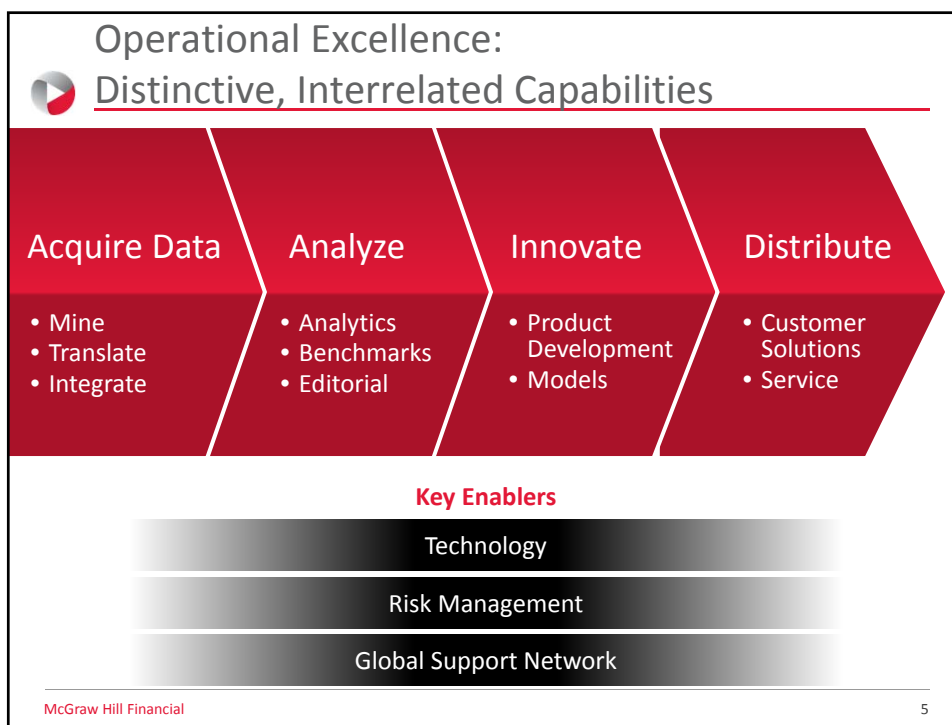
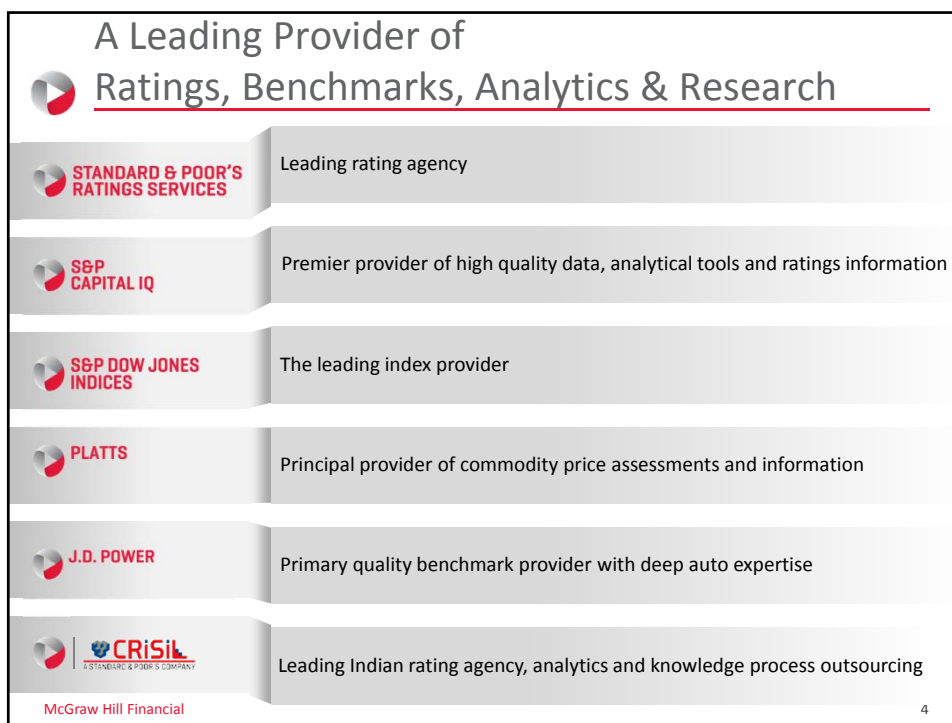


Figures include McGraw Hill Construction

* Includes McGraw-Hill Education ** Includes investment in prepublication costs

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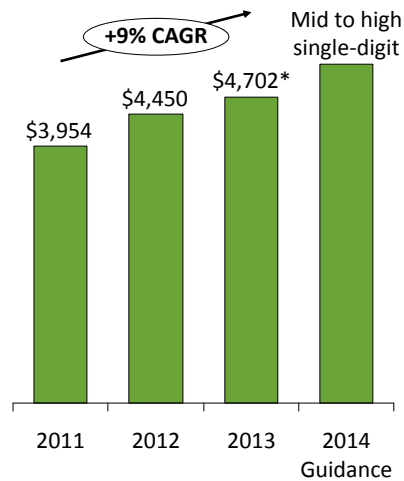
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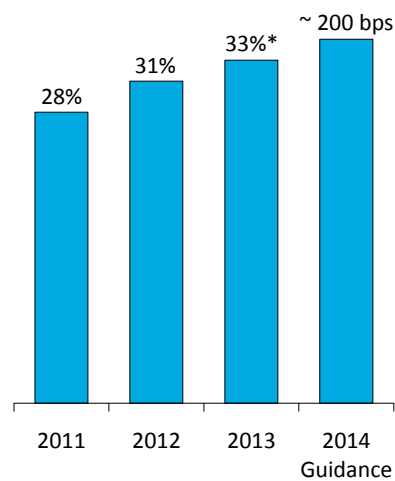


MHFI: A Proven Track Record of Growth

Annual Revenue Growth



Adjusted Operating Margin



* McGraw Hill Construction reclassified to discontinued operations

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Secular Market Trends Position MHFI for Sustained Growth



Significant debt maturities and bank deleveraging



Major refinancing required for infrastructure



Capital markets in emerging countries continue to develop



Increased investor sophistication requires real-time data and analytics



Assets continue to shift to index-related investing



Daily commodity price assessments to deliver transparency and offset volatility



Automotive market strength in Asia and the Americas

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A Truly Global Company



~18,000 Employees

30 Countries

95 Global Offices

North America

Headcount 6,000

Revenue \$ 3.1B

EMEA

Headcount 2,000

Revenue \$ 1.2B

Asia Pacific

Headcount 9,500

Revenue \$ 0.5B

Latin America

Headcount 500

Revenue \$ 0.1B

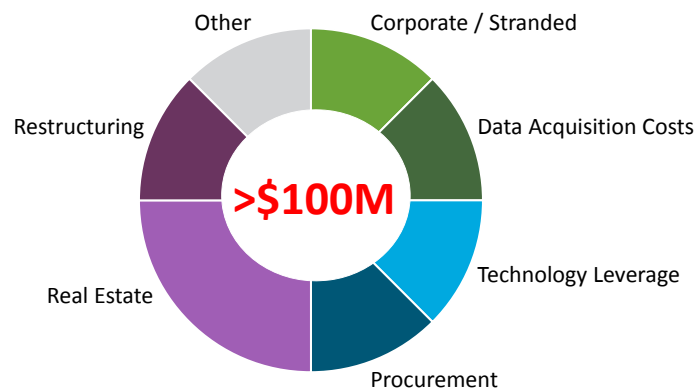
Revenue by Region as of 12/31/2013;
Other totals as of Aug 2014

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New Productivity Target - Initiatives Underway

2014–2016 Cost Reduction Initiatives



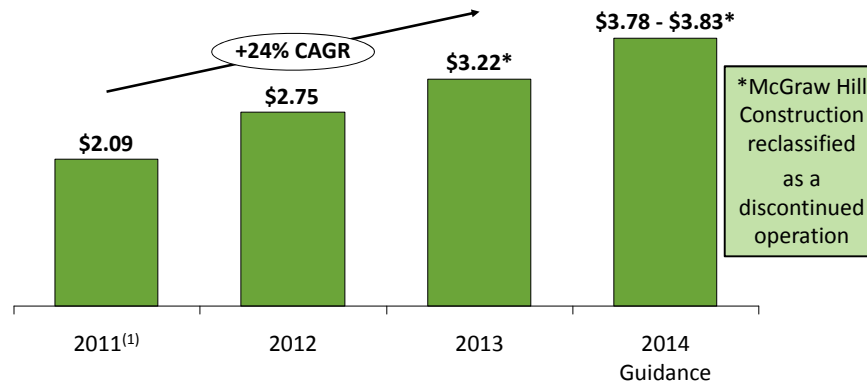
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MHFI: Double-Digit Earnings Growth

Annual Adjusted Diluted EPS



Anticipate free cash flow of approximately \$1 billion in 2014

(1) 2011 adjusted EPS excludes gain on divestiture of Broadcasting

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MHFI: 3Q YTD Results

(\$ in millions)

	2014*	2013*	Change
Revenue	\$3,761	\$3,496	+8%**
Adj. Operating Profit	\$1,371	\$1,207	+14%
Adj. Operating Margin	36.5%	34.5%	+200 bps
Adj. Diluted EPS	\$2.93	\$2.45	+20%

* McGraw Hill Construction reclassified as a discontinued operation

** Organic growth was 9% excluding lost revenue from 2013 portfolio rationalization

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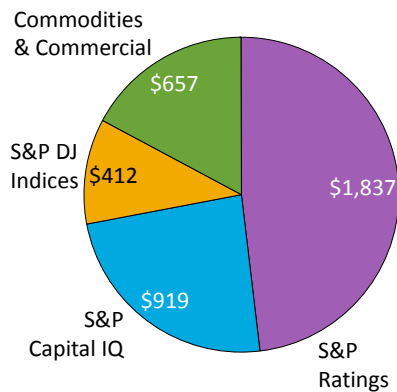
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3Q YTD 2014 Results by Line of Business

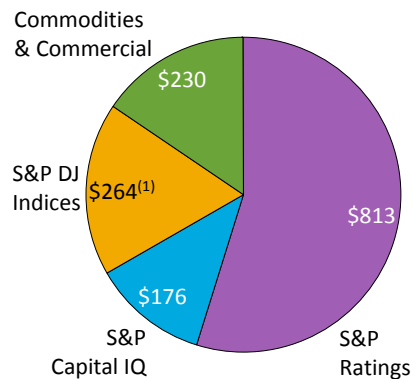
Revenue: \$3,761M

(\$ in millions)



Adj. Segment Op. Profit: \$1,482M

(\$ in millions)



1) Includes operating profit attributable to the noncontrolling interest of the S&P Dow Jones Indices joint venture of \$70 million
Note: Revenue chart excludes consolidating adjustments and McGraw Hill Construction reclassified as a discontinued operation

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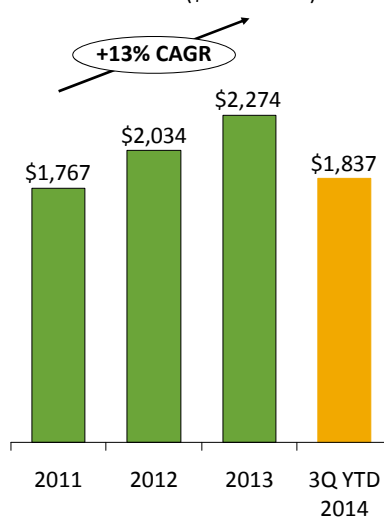


S&P Ratings – Financial Snapshot

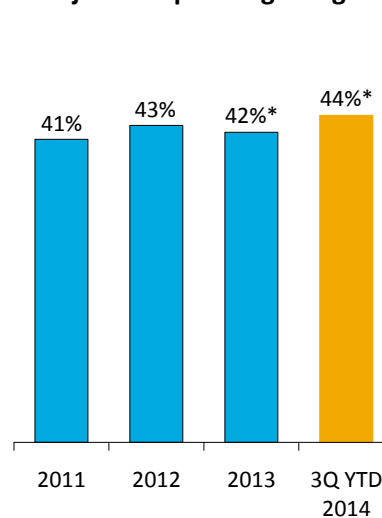


STANDARD & POOR'S
RATINGS SERVICES
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Revenue (\$ in millions)



Adjusted Operating Margin



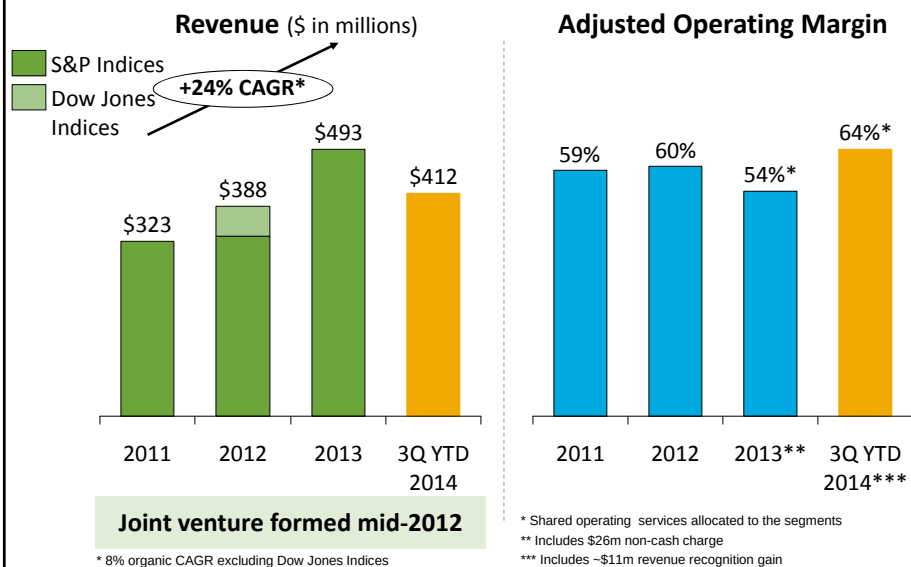
* Shared operating services allocated to the segments

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- **Well positioned to capitalize on opportunities provided by structural changes in capital markets:**
 - Developing capital markets
 - Bank deleveraging in developed markets
 - Recovery in structured finance
- **YTD 2014 results driven primarily by**
 - Strength in frequent issuer programs, surveillance fees, bank loan ratings, Rating Evaluation Service and within structured products ABS and CLOs
- **Post-financial crisis litigation continues**





S&P Dow Jones Indices



- **Revenue generated from:**
 - ETF and mutual fund contracts
 - Licensing of indices for derivative trading
 - Profit sharing with exchange partner
 - Data subscriptions
- **YTD 2014 results driven by:**
 - Assets under management in ETFs which increased 25% to a record \$733 billion at end of the quarter
 - Benefit from purchase of intellectual property and more timely revenue recognition of certain products

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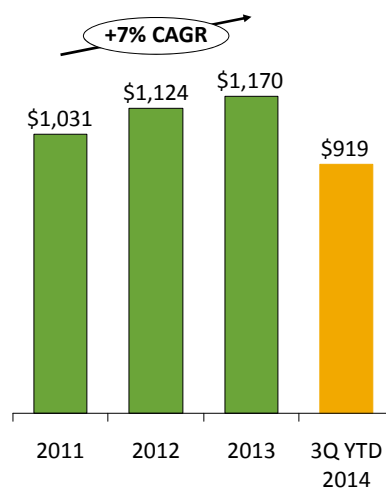
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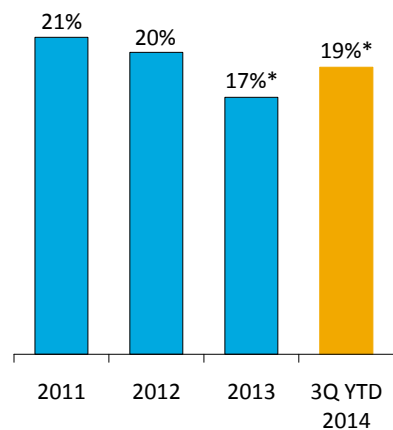
S&P Capital IQ – Financial Snapshot



Revenue (\$ in millions)



Adjusted Operating Margin



* Shared operating services allocated to the segments

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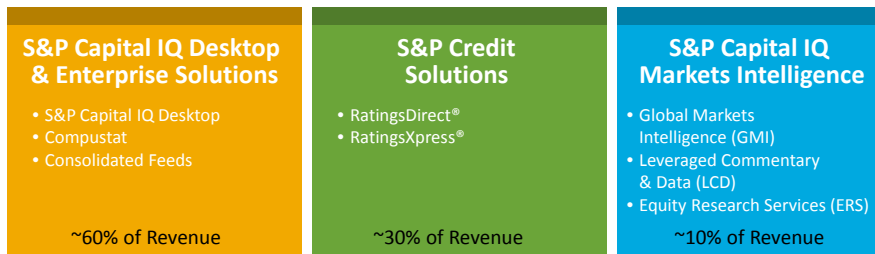
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S&P Capital IQ



- Revenue generated from:



- YTD 2014 results driven by:

- Strong growth of S&P Capital IQ Desktop, RatingsXpress®, Leveraged Commentary & Data (LCD)



C&C Markets – Financial Snapshot

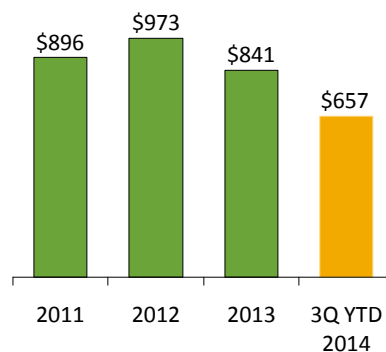


PLATTS
McGraw Hill Financial

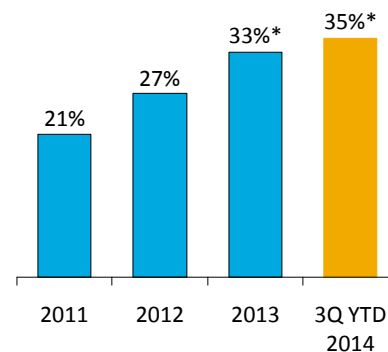


J.D. POWER
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Revenue (\$ in millions)



Adjusted Operating Margin



Comparisons impacted by the sale of Aviation Week in August 2013 and the reclassification of McGraw Hill Construction to discontinued operations in 2013 and 2014



Commodities & Commercial (C&C) Markets

Premier source of benchmarks, high-value information, data, and analytic services



PLATTS
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- Revenue generated from subscriptions and licensing for derivative trading
- Thousands of daily price assessments
- Oil, gas, petrochemicals, steel, agriculture, etc.



J.D. POWER
McGRAW HILL FINANCIAL

- Revenue generated from proprietary research and brand licensing
 - J.D. Power expanding rapidly in Asia-Pacific
- **YTD 2014 comparisons driven by:**
 - Double-digit growth of both Platts and J.D. Power as well as the sale of Aviation week in August 2013

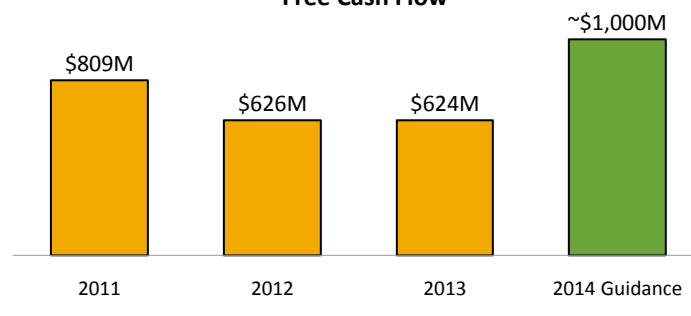
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Strong Cash Flow Enables Financial Flexibility

Free Cash Flow



Capital Expenditures

Year	Capital Expenditures (\$M)
2011	\$92M
2012	\$97M
2013	\$117M
2014 Guidance	~\$100M

2014–2016 free cash flow goal: ~\$1 billion per year

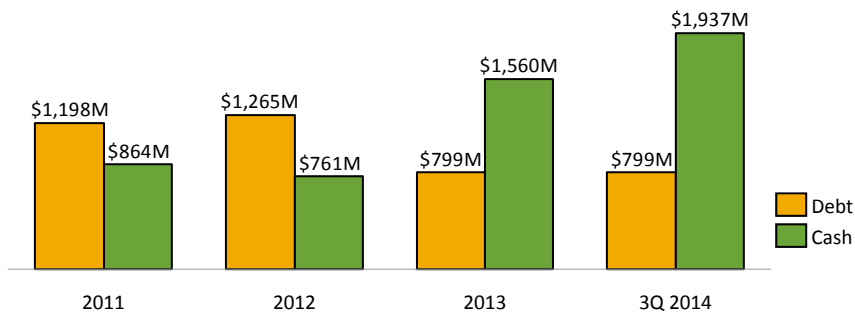
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Enhanced Balance Sheet Strength

Year-End Debt & Cash Positions



Debt / EBITDA

1.0x

0.8x

0.5X

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Investing to Expand Portfolio: 2011–2014 MHFI Transactions

S&P Dow Jones Indices

**S&P DOW JONES
INDICES** (2012)

S&P Capital IQ

cma (2012)

QUANT (2012)

R² FINANCIAL (2012)

Commodities (Platts)

BENTEK (2011)

Steel Business Briefing (2011)

KINGSMAN (2012)

Eclipse Energy Group (2014)

Standard & Poor's Ratings Services

COALITION (2012)

CRISIL (2013)
A Standard & Poor's Company

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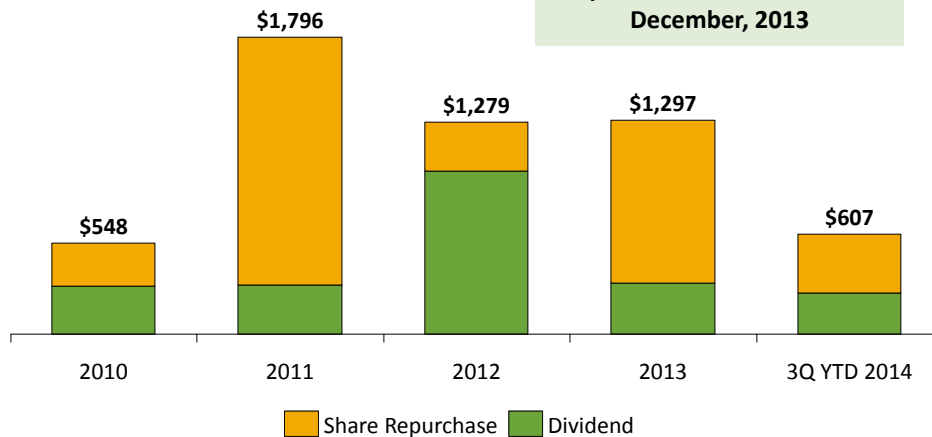
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Returning Substantial Cash to Shareowners

(\$ in millions)

Announced 50 million share repurchase authorization in December, 2013



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- A new company with a 125-year heritage – focused on growth and performance
- Track record of solid growth and margin improvement
- Delivering growth potential with a focused, inter-related portfolio
- 2014 guidance indicates strong performance:
 - Mid to high single-digit top-line growth
 - Adjusted diluted EPS guidance of \$3.78 – \$3.83
- Strong balance sheet and cash flow enables continued investment while returning cash to shareowners
- Well positioned to sustain growth

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